# The world in brief

Catch up quickly on the global stories that matter

Photograph: Getty Images

**Iran's** top negotiator, Mohammad Bagher Ghalibaf, said reopening the Strait of Hormuz was "not possible" while America maintains a naval blockade. Iran attacked at least three ships in the strait, a day after **Donald Trump** said he would extend a ceasefire until peace talks are concluded. Iran's navy said it had detained two vessels for "endangering maritime security".

**American stocks** rose after markets opened as news of the ceasefire extension cheered investors. The S&P 500 climbed by more than 0.8%, while the tech-heavy NASDAQ rose by more than 1%. However the price of Brent crude, an oil benchmark, rose above $100 following reports of the ship attacks.

**Israel's** armed forces accused **Hizbullah**, an Iran-backed militia, of breaching an American-brokered ceasefire in Lebanon by firing rockets at its troops in southern Lebanon. It was the first such incident since the truce began last week. Israel also said it intercepted a drone. Separately, Israel jailed two of its soldiers for smashing a statue of Christ with a sledgehammer in Lebanon.

**Germany** published its first military strategy since the second world war. The report outlines Germany's "special responsibility" for the EU's defence, as its largest economy, and describes Russia as

“the greatest immediate threat” to regional security. It also sets out plans to reach the armed forces’ target of 260,000 professional troops by the mid-2030s.

**Spirit Airlines** is reportedly in talks with the Trump administration to secure a federal loan of up to $500m. Support could include equity warrants, potentially giving the government a majority stake, according to the *Financial Times*. The airline, in the midst of its second bankruptcy in two years, is struggling with intense competition and a surge in fuel prices.

**Switzerland** unveiled banking reforms that would require UBS, the country’s biggest lender, to add roughly $20bn to its capital buffers. The proposals, triggered by the collapse of Credit Suisse, a rival that UBS rescued, mandate full capital backing for UBS’s foreign operations. UBS called the reforms “extreme” and warned they would have “far-reaching consequences” for the Swiss economy.

**Boeing** reported a net loss of $7m in its first-quarter earnings, compared with losses of $31m in the same period last year. Commercial-jet sales rose following the partial lifting of a production cap by American regulators, which had been imposed after a door malfunctioned mid-flight in 2024. Defence revenues, spurred by the Iran war, grew by 21%. The division’s order backlog grew to a record $86bn.

**Figure of the day: 36%**, the real-terms increase in the price of eggs in Britain. Read about why Ukrainian eggs have got British farmers clucking.

Photograph: EPA

## Britain’s laboured economy

On Wednesday Britain released consumer price index data for March. The energy shock caused by war in Iran drove annual inflation up to 3.3%, from 3% in February. But much of the pain is yet to come. The government’s energy price cap is expected to rise in July. Households also face steeper prices for other goods and services when businesses pass down higher operating costs.

The labour market offers little comfort. Britain’s unemployment rate unexpectedly fell to 4.9% in the three months to February, down from 5.2% in the three before that. But this is partly due to the method of counting: fewer people are actively seeking work, and so have fallen out of the figures. Meanwhile the number of payrolled employees has fallen, wage growth is weaker and hiring has slowed. The timing is bad for the Labour Party, which faces an uphill fight in local elections on May 7th.

Photograph: Getty Images

# Why China’s exports will keep on rising

China’s exports are booming despite America’s trade war and conflict in the Middle East. In the first three months of 2026, shipments rose by nearly 15% year on year, extending a surge that pushed the trade surplus to record levels in 2025. *The Economist*’s new analysis of trade data shows why.

Exports to America have fallen sharply, but sales to other countries have soared, more than offsetting the loss. Most of the increase reflects genuine new demand, especially in Asia and Europe, not simply rerouting through third countries. China is also exporting different goods—fewer consumer products, and more components, machinery and high-tech parts—boosted by the AI boom. Cheap prices, helped by weak domestic demand, keep exports competitive.

China is also better placed than many Asian rivals to weather the Iran war. Its reliance on domestic coal shields firms from the oil-price shock. And higher petrol prices are pushing consumers towards electric vehicles, lifting demand in Japan, South Korea and India.

Photograph: Getty Images

## Tesla lacks drive

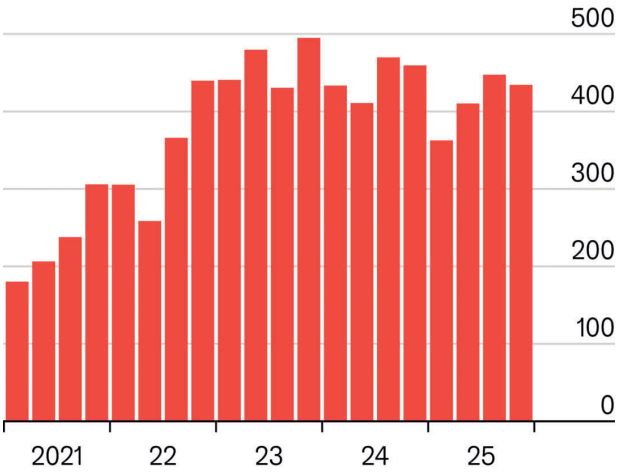
There was a time when investors could barely contain their excitement for Tesla's earnings, eager to hear of sales-records broken or the latest plan by Elon Musk, the carmaker's boss, for EVs. Those days are over.

The firm's first-quarter results on Wednesday are unlikely to reignite the old enthusiasm. The firm is expected to report a 9% year-on-year decline in revenue, to $22bn. It does, however, have big investment plans. It has forecast capital spending of more than $20bn this year, up from $8.5bn in 2025.

Much of that will go on projects the firm has staked its long-term growth on, including the Cybercab, its robotaxi, as well as development of humanoid robots and chipmaking capacity. This may give some of the retail-investor fanbase a nostalgic rush. But Mr Musk's attention has wandered. He now seems more interested in other businesses like SpaceX, his rocket company, as a path to tech domination.

## Losing momentum

**Tesla, vehicle deliveries, '000**




Source: LSEG Workspace

Photograph: U.S. Army

## Battle of the bulging order books

America's big "prime" defence companies are benefiting from a more violent world. On Tuesday GE Aerospace, Northrop Grumman and RTX reported a surge in orders in first-quarter results; Lockheed Martin reports on Thursday. Armed forces on both sides of the Atlantic need to fill magazines depleted by war in Ukraine, and Europe is tooling up to reduce its reliance on America. Israel and America have burned through munitions in Iran, while beleaguered Gulf states have used up interceptors.

But meeting the demand requires investment that is often slow to pay off. Lockheed needs four years to increase annual production of its PAC-3 interceptors to 2,000, for example. America fired around 400 in the first 16 days of the Iran war. It is a similar story for RTX's Tomahawk missiles. And investors worry about a clique of agile "neo-primes", including Anduril, Palantir and SpaceX, fighting for a growing share of defence budgets. Legacy armsmakers face a tough battle.

Illustration: Sandra Navarro

# Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [email protected]. We'll pick three winners at random and crown them on Saturday.

**Wednesday:** Which Portuguese explorer was the first European to cross the Pacific?

**Tuesday:** Which port and naval base was ceded to Britain by Spain in the 1713 Treaty of Utrecht?

*Where there’s music there can be no evil.*

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***Miguel de Cervantes***